Tequila in Iowa: What’s Driving the Buzz?

A Data-Driven Analysis of Revenue Drivers, Market Risks & Growth Opportunities

Why Tequila? Why Now?

Tequila is a rapidly growing segment in the spirits industry, driven by, premium trends, brand-driven consumer loyalty, and event-based consumption patterns.

This analysis focuses on identifying:

- Core revenue drivers
- Structural risks in the market
- Opportunities for sustainable growth

Key Dimensions Analyzed:

- Vendor concentration
- Product performance
- Geographic distribution
- Pricing dynamics

Quick Market Snapshot

- **Highly Concentrated Revenue Model**

A small number of vendors and products drive the majority of sales

- **Uneven Geographic Distribution**

Sales are heavily concentrated in a few key counties

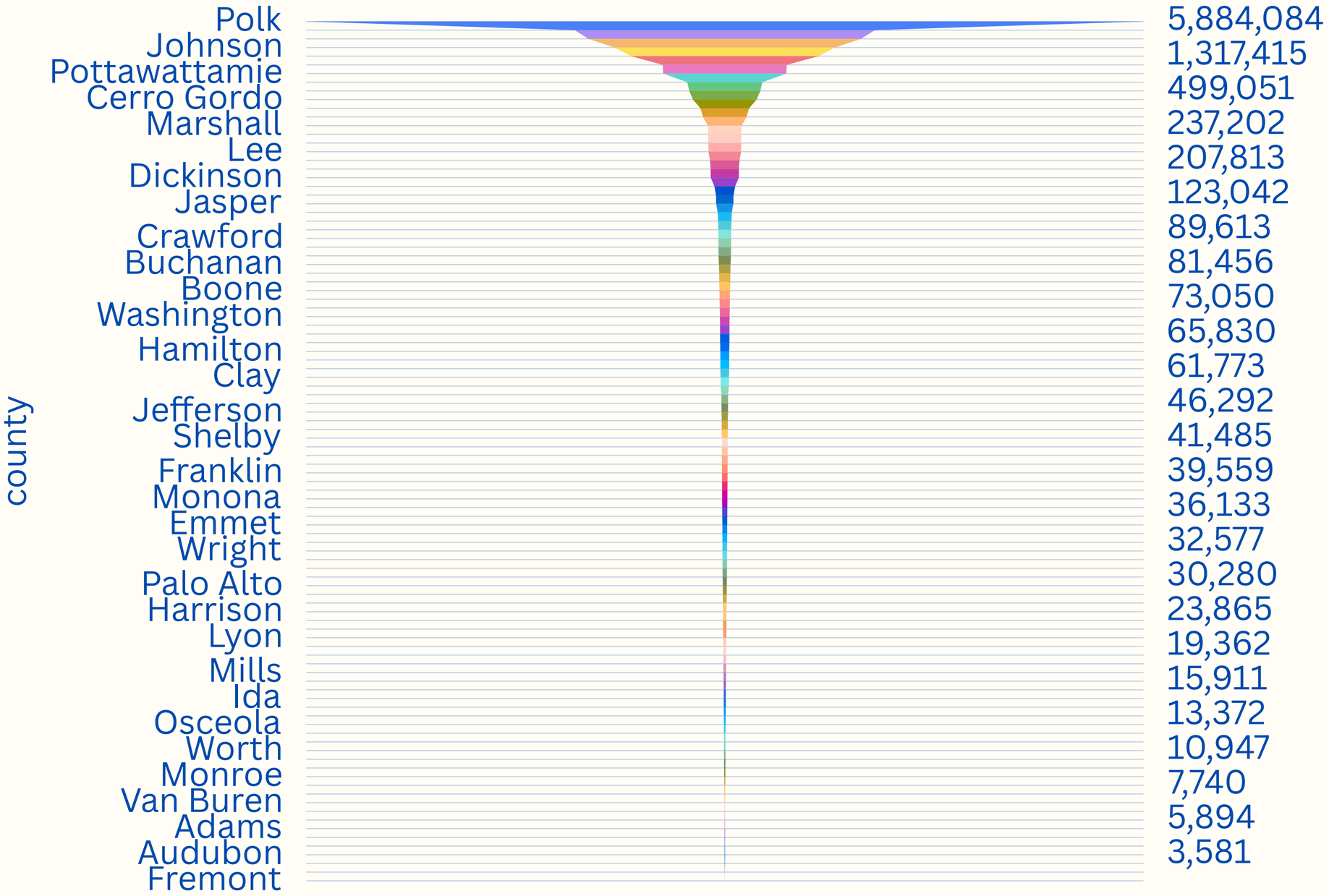
- **Seasonal Demand Cycles**

Sales fluctuate significantly across months, indicating event-driven consumption

- **Price Sensitivity in Purchasing Behavior**

Transaction volume is closely tied to pricing levels

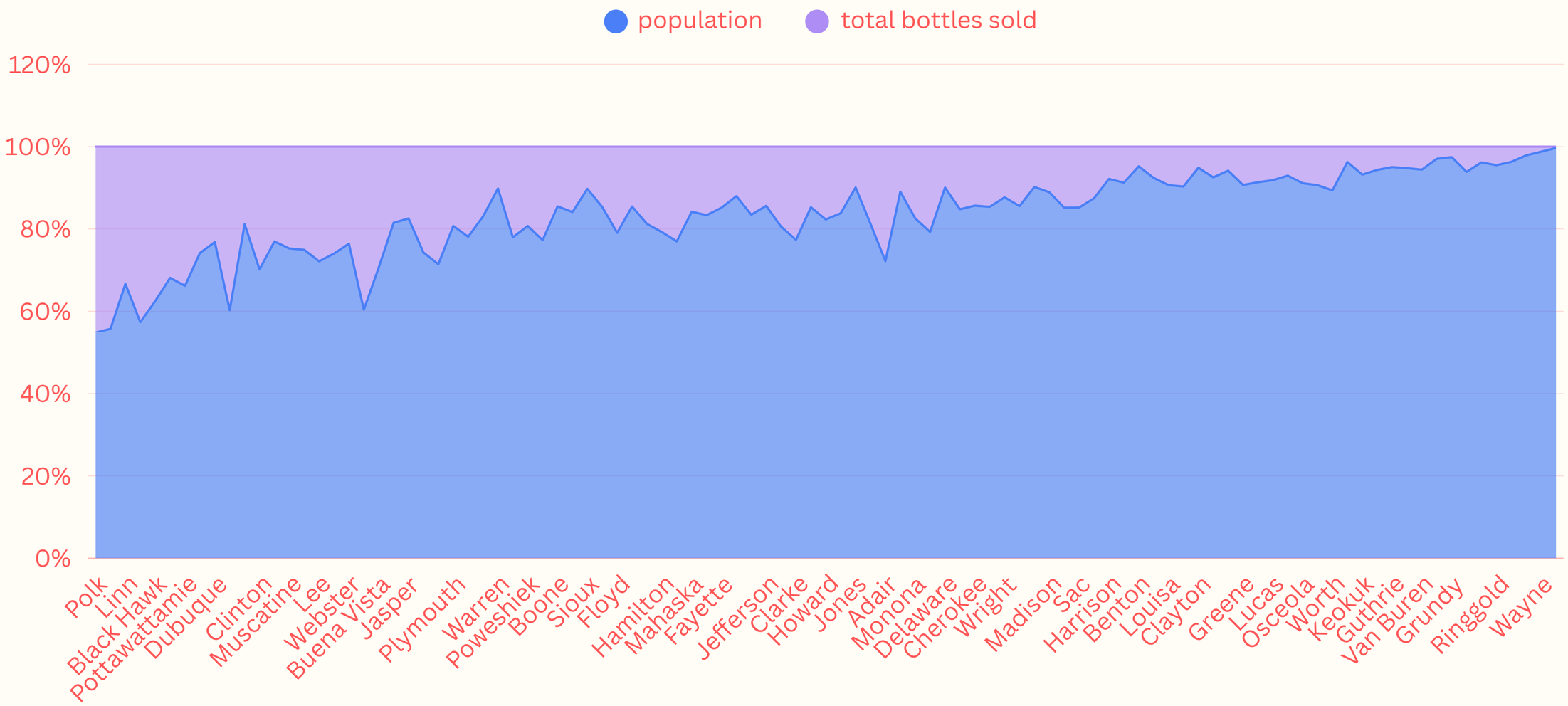
County Sales Distribution



Insights

- Polk County generates ~5.8M in revenue—over 4x the next county
- Revenue drops sharply after the top 2–3 counties
- Majority of counties contribute less than 100K

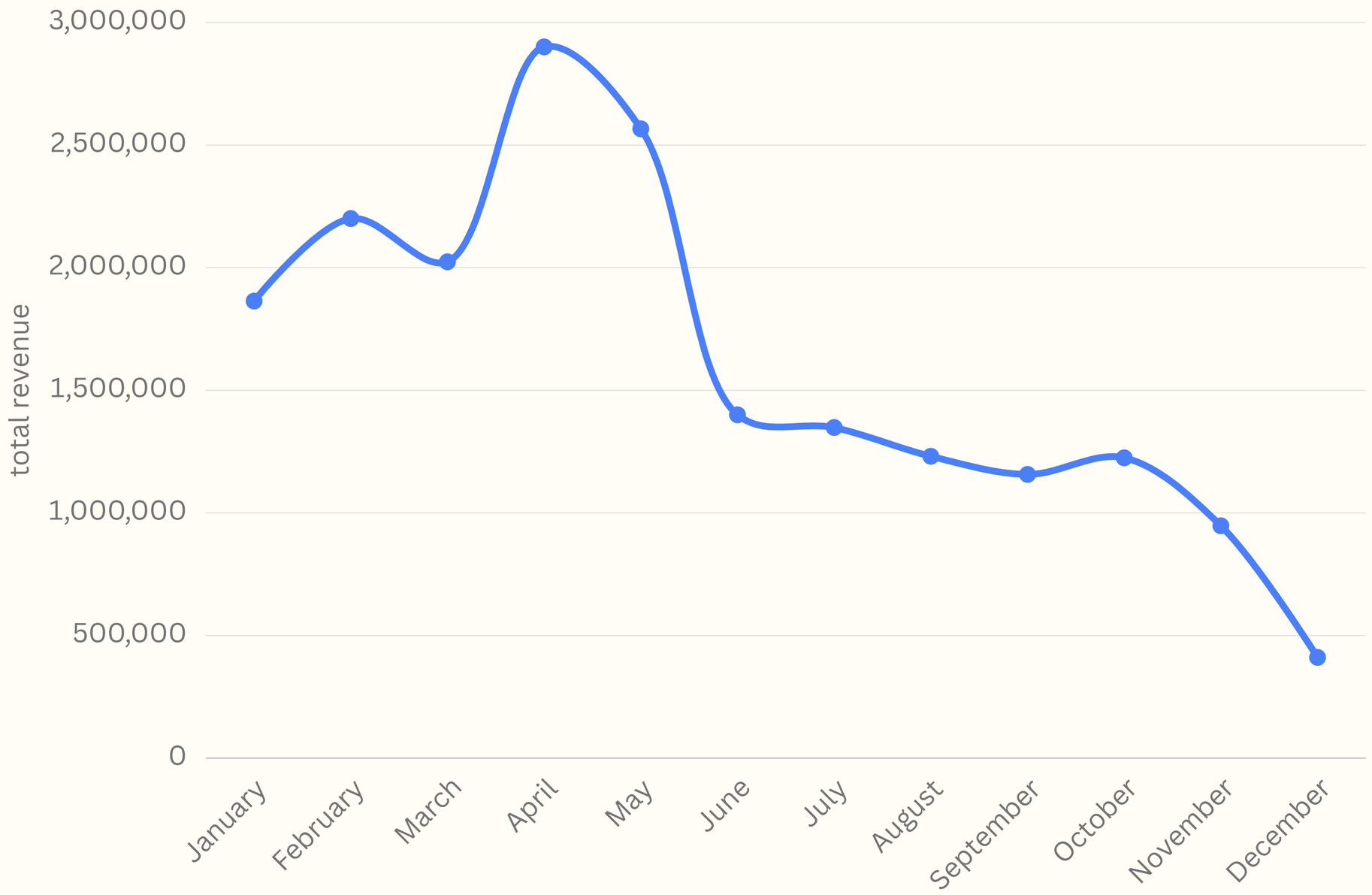
Sales by Population



Insights

- Demand does not scale proportionally with population size
- Hidden Demand: Where Tequila Could Grow
- Opportunity exists for effective distribution per-capita

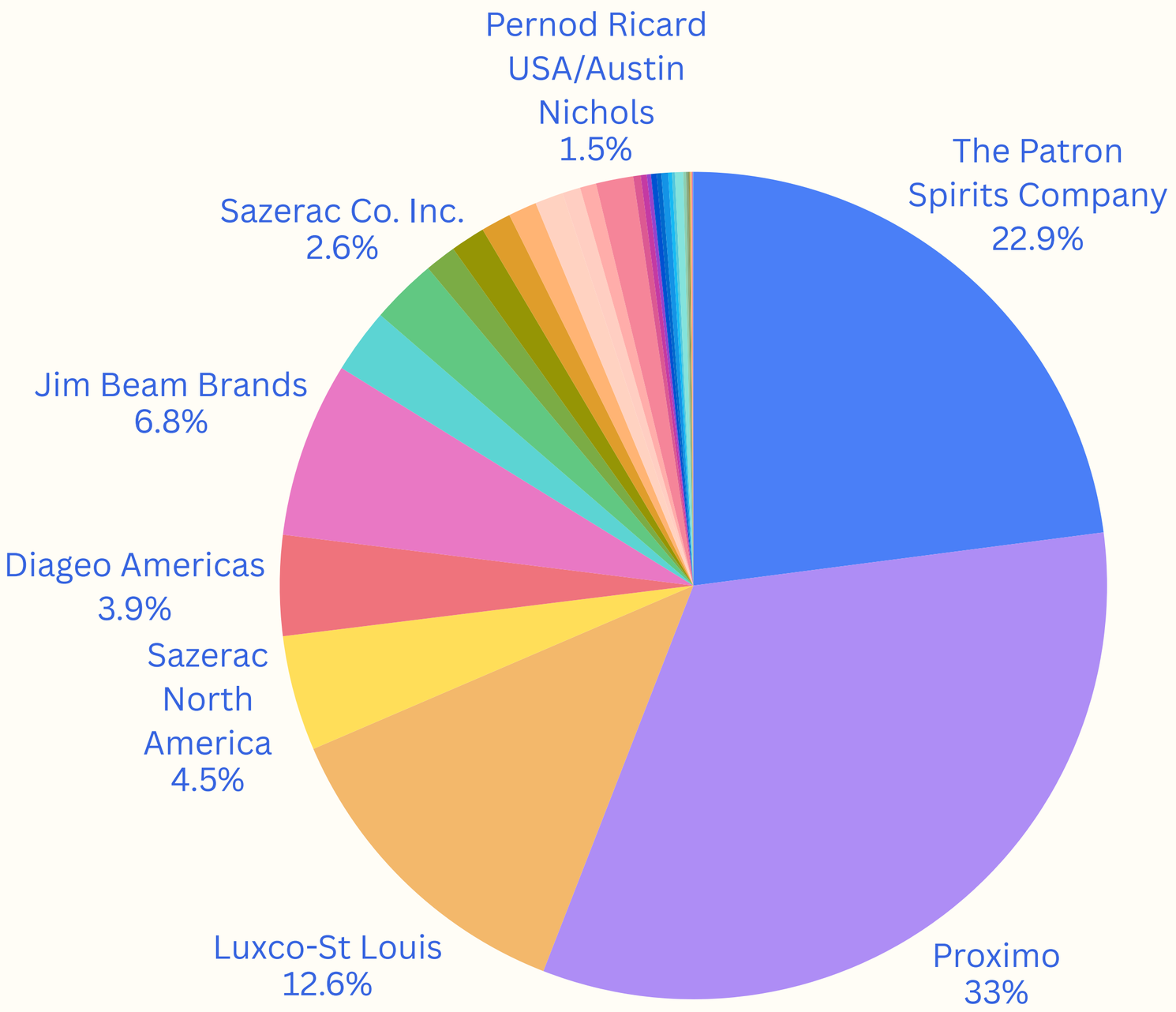
Tequila Season?



Insights

- Clear peaks suggest event-driven sales like Cinco de Mayo in April
- Off-peak months align with seasonal shifts

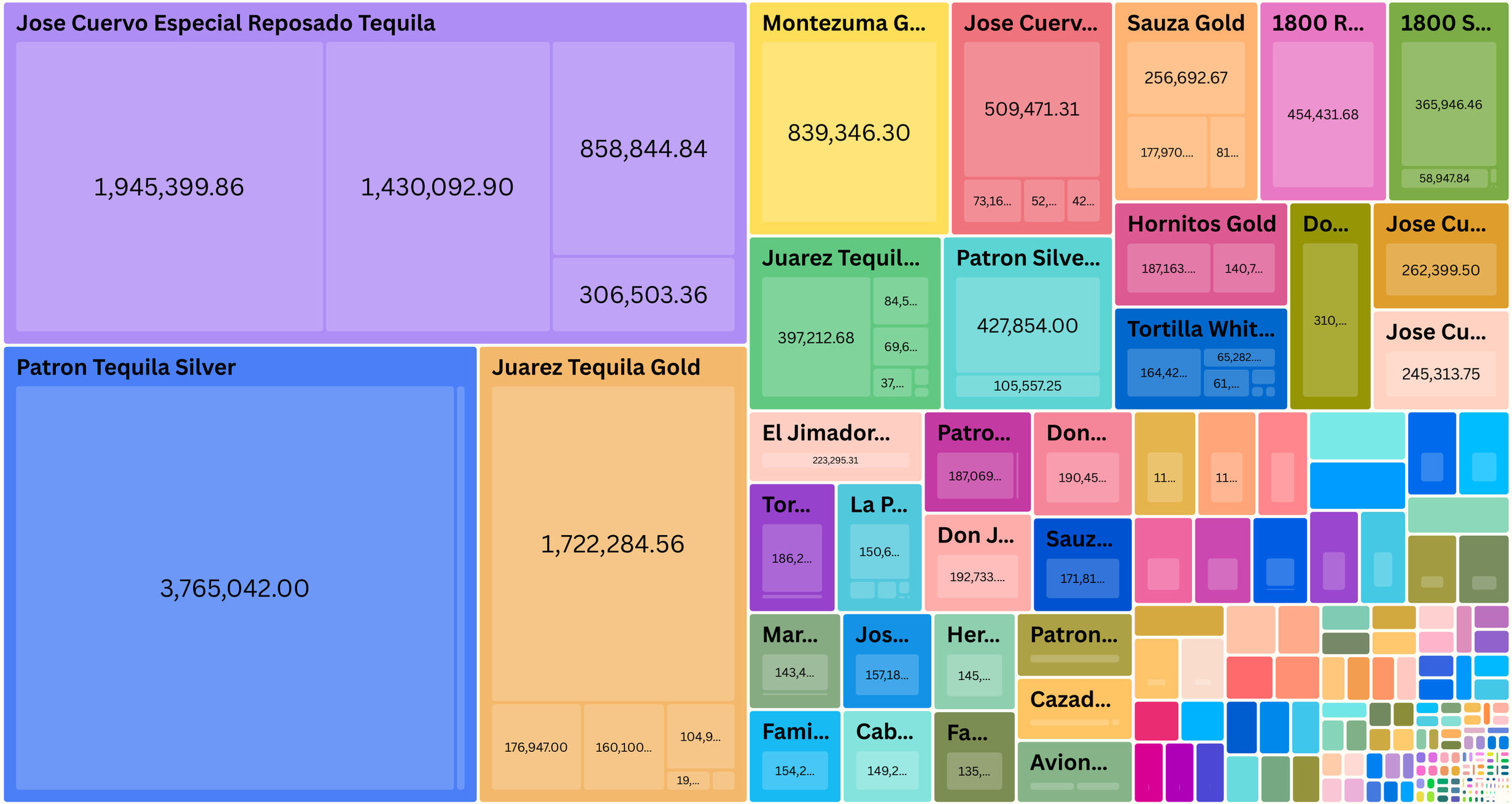
Power Players: Vendors Driving the Market



Insights

- Top 2 vendors generate over 55% of total revenue
- Strong brand dominance is evident
- Gemini Spirits at 0.1%
- Proximo alone contributes ~33%

"Hero" Product



Retail Performance Gap

A Small Number of Stores Drive Disproportionate Revenue

- **High Concentration of Sales in Top Retailers**

Major chains such as Hy-Vee and Sam’s Club dominate total sales volume

- **Significant Performance Gap Across Stores**

Top-performing stores generate exponentially higher revenue than the majority

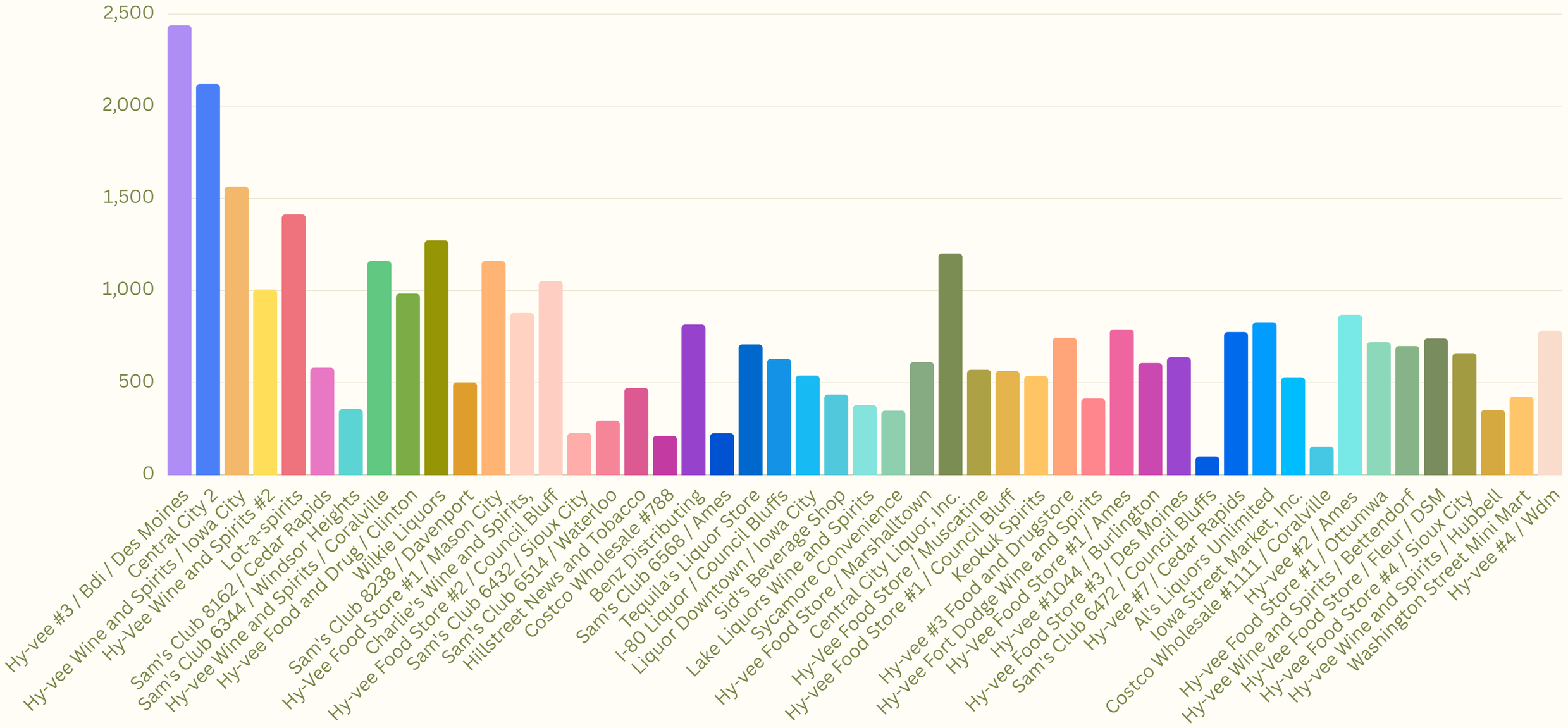
- **Long Tail of Low-Performing Locations**

Many stores contribute minimal sales, indicating underutilized distribution

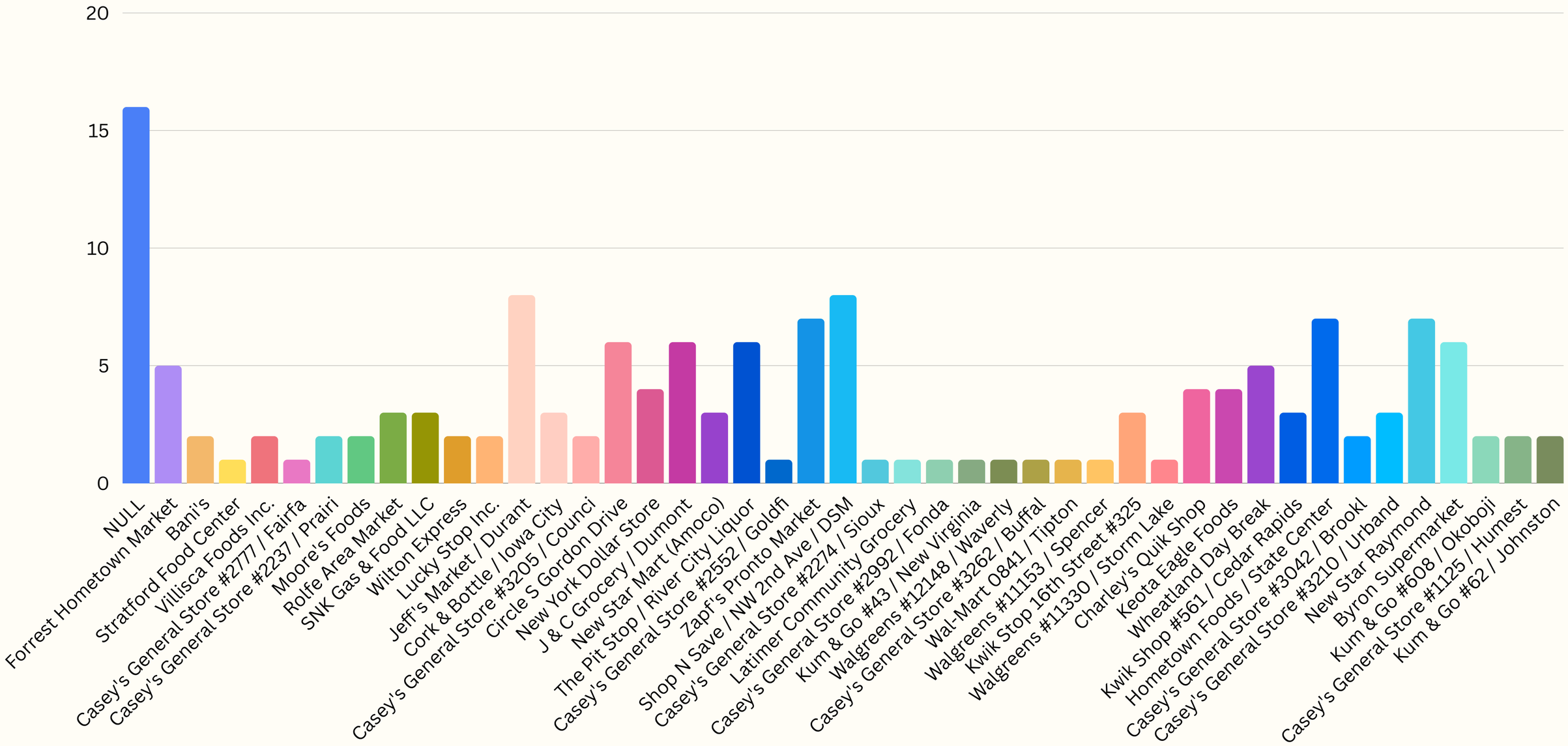
- **Inefficient Market Coverage**

Sales potential is not evenly captured across existing retail locations

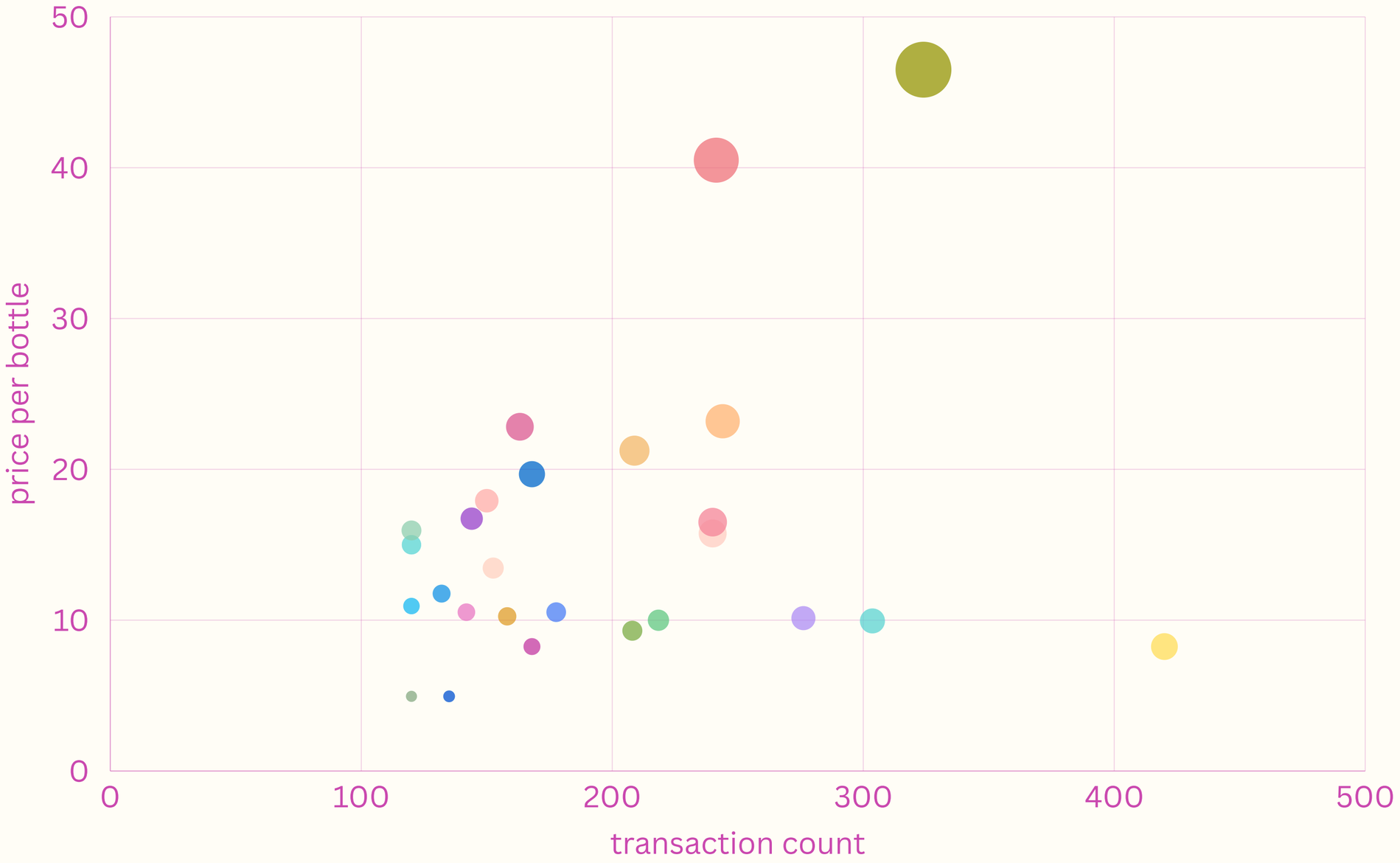
High Transaction Stores



Low Transaction Stores



The Price "Sweet Spot"



Insights

- Mid-priced products generate the highest transaction volume
- Premium products sell less frequently
- Lower-priced products generate less revenue

So... What’s the Shot?

Strategic Recommendations Based on Insight :

1. Expand into Underserved Regions
   - Identify counties with high population but low sales penetration and improve distribution and localized marketing strategies

2. Optimize Pricing Strategy Around Demand Patterns
   - Focus on mid-tier pricing where transaction volume is highest and align pricing with seasonal demand cycles

3. Reduce Operational Risk Through Diversification
   - Decrease reliance on top vendors and retail chains and expand partnerships to stabilize revenue streams

Thank you!

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